

24 Risk governance

9 primary questions | Oldest to newest

2026 objectives: 3.2.1-3.2.5

3 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2012 Q1	8 marks
CA1-P1 September 2014 Q3	11 marks
CA1-P1 September 2017 Q2	7 marks
CA1-P1 September 2018 spare Q1	4 marks
CP1-P1 April 2019 Q1	6 marks
CP1-P1 September 2019 Q6	15 marks
CP1-P1 April 2020 Q3	8 marks
CP1-P1 April 2021 Q6	10 marks
CP1-P1 September 2022 Q4	6 marks

CA1-P1 | September 2012 | Q1

Current topic | 8 marks total | Original PDF p2

Related: Ch 25.

- 1** A country is hosting a major international sporting event. The opening ceremony for the event will be preceded by a procession involving celebrities and a torch-bearing relay through a large number of cities of the country.

Describe the risk management process that the country should follow when preparing for the procession. [8]

CA1-P1 | September 2014 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 25, Ch 22.

- 3** (i) List the types of risk faced by a provider of financial products. [3]

In a country, household energy bills are typically formed of a fixed charge of around £20.00 a month plus a cost of around £1.00 per unit of power used. The cost of a unit of power used has risen significantly in recent years, having been around £0.70 per unit three years ago.

A general insurance company is considering introducing a new product. The proposed product will guarantee that the cost of a unit of power used for a household will not exceed £1.05 per unit for a period of five years (i.e. prices are capped).

- (ii) Outline how the risk management process can be used to aid the design of this new product. [8]

[Total 11]

CA1-P1 | September 2017 | Q2

Current topic | 7 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 2** Conglomerate Group is a company which has grown by acquiring a number of businesses as subsidiaries which operate as independent business units within Conglomerate Group. Each subsidiary has its own management team and manages its own risks.

The directors of Conglomerate Group believe this approach to be the most appropriate for controlling the risks inherent in the company's overall operations.

A major shareholder of Conglomerate Group is concerned about this approach. They have suggested that an enterprise wide risk management system as the best way to control the company's risks.

- (a) Discuss reasons why the shareholder might be concerned about the current approach adopted by the company.
 - (b) Comment on the shareholder's suggestion with reference to the concerns identified in (a).
- [7]

CA1-P1 | September 2018 spare | Q1

[Current topic](#) | [4 marks total](#) | [Original PDF p2](#)

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive.

- 1** Outline the difference between systematic and diversifiable risk for a general insurance company giving two examples of each risk to highlight the differences. [4]

CP1-P1 | April 2019 | Q1

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1**
- (i) List four key stakeholders in the risk governance of a life insurance company. [2]
 - (ii) Describe how each of the stakeholders in part (i) could contribute to the risk governance of the company. [4]
- [Total 6]

CP1-P1 | September 2019 | Q6

Current topic | 15 marks total | Original PDF p3

Related: Ch 3.

6 A developed country has introduced legislation which requires the following for corporate governance of boards of insurance companies:

- separation of roles of chairman, chief executive, finance director and chief risk officer
- the majority of the board to consist of non-executive directors
- a director representing employees and pensioners
- a minimum of 40% of directors to be male
- a minimum of 40% of directors to be female
- the regulator must approve all board and senior management appointments.

Discuss the appropriateness of the new legislation from the perspective of the main stakeholders. [15]

CP1-P1 | April 2020 | Q3

Current topic | 8 marks total | Original PDF p2

Related: Ch 27.

- 3**
- (i) Define the following terms:
 - (a) systematic risk
 - (b) diversifiable risk.

[2]
 - (ii) Describe why a manufacturing company may decide to offer only a single product, rather than a diversified product range.

[6]
- [Total 8]

CP1-P1 | April 2021 | Q6

Current topic | 10 marks total | Original PDF p3

Related: Ch 35.

- 6** A global insurance group has 20 different business units around the world, split as follows:
- ten life insurance companies selling term assurance and annuity products
 - ten general insurance companies specialising in unique risks (e.g. insuring the President of the United States of America's air travel).
- (i) Discuss how enterprise risk management could be used to decide how capital could be distributed between the group's business units. [5]

One of the general insurance companies (Company X) in the group has been invited to quote for insuring the risk that the next four Olympic Games, which happen every 4 years, are delayed or cancelled.

- (ii) Outline how Company X would prioritise this opportunity relative to the other business units' business plans. [5]
- [Total 10]

CP1-P1 | September 2022 | Q4

Current topic | 6 marks total | Original PDF p2

Related: Ch 16.

- 4** An investment management company only invests in domestic equities and has a target to outperform the return on the main domestic equity index over a rolling 3-year period.
- (i) Discuss how the systematic and diversifiable risks associated with the fund can be mitigated. [3]
 - (ii) Describe the roles and responsibilities of various stakeholders in the risk management process at the investment management company. [3]
- [Total 6]